

Friendly Society - Asset Valuation

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _non-directive friendly society_.

1.2

Subject to Friendly Society ? Financial Prudence 2.2, this Part applies with respect to the determination of the value of assets of a _firm._

1.3

In this Part, the following definitions shall apply:

business amount

means:

1. (1) for a _friendly society_ carrying on only _general insurance business_ , the _general insurance business amount_ ;
2. (2) for a _friendly society_ carrying on only _long-term insurance business_ , the _long-term insurance business amount_ ; and
3. (3) for a _friendly society_ carrying on both _general insurance business_ and _long-term insurance business_ , in the case of its _general insurance business assets_ , the _general insurance business amount_ and in the case of its _long-term insurance business assets_ , the _long-term insurance business amount_.

connected individual

of a _friendly society_ , means a natural _person_ who:

1. (1) controls, or is a partner of a natural _person_ who controls, the _friendly society_ ; or
2. (2) is a member of the _governing body_ of the _friendly society_ or the spouse or civil partner or a minor son or daughter of such a member;
3. and for the purposes of the above, a natural ___person_ controls a _friendly society_ if he is:
4. (3) a natural _person_ in accordance with whose directions or instructions the _governing body_ is accustomed to act; or
5. (4) a natural _person_ who either alone or with any _associate_ or _associates_ is entitled to exercise or control the exercise of, 15% or more of the voting power at any general meeting of the _friendly society_.

deferred acquisition costs

means those items referred to at G II under the heading "Assets" in Part I of Schedule 2 to the Accounts Regulations.

dependant

of a friendly society, means:

1. (1) a subsidiary of that friendly society; or
2. (2) a jointly controlled body.

deposit back arrangement

(in relation to a contract of reinsurance) means an arrangement whereby an amount is deposited by the reinsurer with the cedant.

established surplus

means an excess of assets representing the whole or a particular part of the fund or funds maintained by the firm in respect of its long-term insurance business over the liabilities, or a particular part of the liabilities, of the firm attributable to that business as shown by an investigation to which Friendly Society ? Reporting 2 applies.

excess concentration with a number of counterparties

means the amount by which the firm is exposed to a counterparty in excess of the permitted counterparty exposure limit, calculated in accordance with 26.

exposure

means:

1. (1) (in relation to assets), an amount determined in accordance with 18 to 24;
2. (2) (in relation to a counterparty), an amount determined in accordance with 25 to 27.

general insurance business amount

means the higher of:

1. (1) the total of:
 1. (a) the friendly society's insurance liabilities (net of reinsurance ceded) in respect of general insurance business less debts :
 1. (i) which are due from dependants to which 23.3 relates,
 2. (ii) which are not reinsurance which has already been netted off the friendly society's insurance liabilities, and
 3. (iii) which are included in general insurance business assets; which amount is to be zero where the debts are greater than the friendly society's insurance liabilities, and
 2. (b) an amount equal to whichever is the greater of £320,000 or 20% of the general premium income; or
2. (2) such other amount as the friendly society may select not exceeding:
 1. (a) the value of its general insurance business assets as determined in accordance with this Part;
 2. (b) excluding debts due from dependants to which paragraph 23.2 relates and reinsurance recoveries; and
 3. (c) less debts due to dependants of the friendly society included in general insurance business liabilities (excluding reinsurance recoveries, other than amounts due or that relate to claims already paid by the dependant) except that for a dependant to which 23.2 does not relate, the amount deducted will not exceed the dependant's surplus assets (or proportional share).

general insurance business assets

means the assets of a _firm_ which are, for the time being, identified as representing the _general insurance business_ fund or funds maintained by that body in respect of its _general insurance business_.

general premium income

means, in any year, the net amount, after deduction of any _premiums_ payable for _reinsurance_, of the premiums _receivable_ in that year in respect of all _insurance business_ other than _long-term insurance business_.

implicit item

means economic reserves arising in respect of items which relate to future surpluses, _zillmerising_ or hidden reserves.

linked assets

means, in relation to a _friendly society_, _long-term insurance business assets_ of the friendly society which are, for the time being, identified in the records of the _friendly society_ as being assets by reference to the value of which _property-linked benefits_ are to be determined.

long-term insurance business assets

means the assets of a _firm_ which are, for the time being, identified as representing the _long-term insurance business_ fund or funds maintained by that firm in respect of its _long-term insurance business_.

long-term insurance business amount

means the higher of:

1. (1) the total of:

1. (a) the _friendly society's_ insurance liabilities in respect of _long-term insurance business_ (net of _reinsurance_ ceded) and the amount of any deposit back under a _deposit-back arrangement_ in relation to a contract of _reinsurance_ in respect of _long-term insurance business_;

1. (i) excluding _property-linked liabilities_; and

2. (ii) less:

1. (A) the amount of any _debt_, that is a _long-term insurance business asset_ (excluding reinsurance ceded which has already been deducted from the _friendly society's_ _insurance liabilities_), due from a _dependant_ to which paragraph 23.2 relates, and

2. (B) the amount of any _implicit item_ valued in accordance with a _waiver_; (which amount is to be zero where the result is negative); and

3. (C) the amount of the _required margin of solvency_ or _minimum guarantee fund_, whichever is greater for its _long-term insurance business_ (or, in the case of a _friendly society_ whose head office is not in the _UK_, that amount which would apply if its head office were in the _UK_); or

2. (2) such other amount as the _friendly society_ may select not exceeding the value of its assets determined in accordance with the this Chapter;

1. (a) excluding:

1. (i) _reinsurance_ recoveries;

2. (ii) assets required to match _property-linked liabilities_;

3. (iii) _debts_ due from _dependants_ of the _friendly society_ to which 23.2 relates; and

4. (iv) if the _friendly society_ is a _general insurer_, _general insurance business assets_, and

2. (b) less:

1. (i) if the _friendly society_ is a _general insurer_, _debts_ due to _dependants_ of the _friendly society_ included in

long-term insurance liabilities (excluding _reinsurance_ recoveries (other than amounts due or that relate to claims already paid by the _dependant_)); or

2. (ii) if the _friendly society_ is not a _general insurer_ , _debts_ due to _dependants_ of the _friendly society_ (excluding _reinsurance_ _recoveries_ (other than amounts due or that relate to claims already paid by the _dependant_)), but for the purposes of (b) above, for _dependants_ to which 23.2 does not relate, the amount deducted will not exceed the _dependant?s_ _surplus assets_ (or _proportional share_);

except that for the purposes of determining the _permitted asset exposure limit_ under 28, _index-linked liabilities_ must also be excluded from (1)(a) and assets required to match such liabilities must be also excluded from (2).

permitted asset exposure limit

means the limits referred to in 28.

permitted counterparty exposure limit

means the limits referred to in 29.

readily realisable

means a _listed_ investment in respect of which 12.4 does not apply or, by virtue of 12.5, is to be taken not to apply.

receivable

means such amounts as become due to a _friendly society_ , whether or not received (including where appropriate, income which has accrued) in respect of _contracts of insurance_ incepted in the relevant period.

2

Secured Debts

2.1

In this Part, a _debt_ owed to (or an obligation to be fulfilled for the benefit of) a _firm_ must be regarded as being secured only to the extent that it is:

1. (1) secured by;

1. (a) a letter of credit established with a _CRD credit institution_ ; or

2. (b) a guarantee provided by a _CRD credit institution_

2. and the sum of the aggregate amount available under all letters of credit established for the benefit of the _firm_ with the same _counterparty_ , the aggregate amount of all guarantees issued for the benefit of the _firm_ by that _counterparty_ and the amount of any _exposure_ of the _firm_ to that _counterparty_ does not exceed the _permitted counterparty exposure limit_ for that _counterparty_ ; or

3. (2) secured by assets for the valuation of which provision is made in this Part and;

1. (a) the value of such assets (after deducting reasonable expenses of sale and the amount of any other _debt_ or obligation secured thereon having priority to or ranking equally with the _debt_ or obligation) is sufficient to enable the _debt_ or obligation to be discharged in full;

2. (b) the value of the assets when aggregated with the _firm?s_ _exposure_ to assets of the same description does not exceed the _permitted counterparty exposure limits_ ; and

3. (c) where the assets give rise to _exposure_ to a _counterparty_ , the _exposure_ of the _firm_ to that _counterparty_ , when added to the sum of the aggregate amount available under all letters of credit established for the benefit of the _firm_ with that _counterparty_ , and the aggregate amount of all guarantees issued for the benefit of the _firm_ by that _counterparty_ , does not exceed the _permitted counterparty exposure limit_ for that _counterparty_ .

2.2

For the purposes of 2.1:

1. (1) the aggregate amount available under letters of credit established with a _counterparty_ must be taken not to exceed the sum of the aggregate amount of all _debts_ and the aggregate value of all obligations in respect of which those letters of credit were established;
2. (2) the aggregate amount of guarantees issued by a _counterparty_ must be taken not to exceed the sum of the aggregate amount of all _debts_ and the aggregate value of all obligations so guaranteed; and
3. (3) assets which are securing any other _debt_ owed to (or obligation to be fulfilled for the benefit of) the _firm_ must be treated as if they were assets of the _firm_.

3

Property-Linked Benefits

3.1

Where a _firm_ has entered into any contracts for the payment of _property-linked benefits_, 4 to 17 do not apply with respect to the determination of the value of the _linked assets_ to the extent that they are held in compliance with the requirements of Friendly Society - Financial Prudence 2.3 to match liabilities in respect of such benefits under such contracts and the value of such assets must be determined in accordance with generally accepted accounting practice or other generally accepted methods appropriate for _insurance business_.

4

General Principles

4.1

1. (1) Subject to (2), any asset to which this Part applies, for the valuation of which no provision is made in this Part, must be left out of account for the purposes specified in 1.2.
2. (2) (1) does not apply to cash.

4.2

Where in all the circumstances of the case it appears that any asset is of a lesser value than the amount calculated in accordance with this Part, such lesser value must be taken to be the value of the asset.

4.3

For the purposes of 4.2, in determining whether it appears that an asset is of a lesser value than the amount calculated in accordance with this Part, regard must be had to:

1. (1) the underlying security; and
2. (2) in the case of bonds, _debt securities_ and other money and capital market instruments, the credit rating of the _issuer_.

4.4

1. (1) In relation to an actuarial investigation of its _long-term insurance business_, a _firm_ may, subject to the conditions set out in (2), elect to assign to any of its assets the value given to the asset in question in the books or other records of the _firm_.
2. (2) The conditions referred to in (1) are:

1. (a) that the election must not enable the _firm_ to bring into account any asset for the valuation of which no provision is made in this Part; and
2. (b) that the value assigned to the aggregate of the assets must not be higher than the aggregate of the value of those assets as determined in accordance with this Part.

4.5

1. (1) Where a _firm_ has entered into a contract for the conversion of currency which satisfies the conditions set out in (2), then for any of the purposes of this Part, the _firm_ must treat the conversion as having been made on the _relevant date_.
2. (2) The conditions referred to in (1) are that:
 1. (a) the contract provides for either;
 1. (i) the conversion into another currency of an amount representing the sale of an asset which has, on the _relevant date_, been sold but not delivered; or
 2. (ii) the purchase of currency for the purpose of settling the purchase of an asset which has, on the _relevant date_, been purchased but not delivered;
 2. (b) the conversion referred to in (1) is to take place during a period which is:
 1. (i) where the contract is in connection with the delivery of a _listed __security_ or a _security_ admitted to trading, a period commencing on the date of the contract and extending for the usual period of settlement as laid down by the rules of the relevant stock exchange or _regulated market_; or
 2. (ii) where the contract is in connection with the delivery of any other asset, a period commencing on the date of the contract and extending for 20 _working days_ thereafter; and
3. (c) the contract is _listed_ or has been entered into with an _approved counterparty_.

4.6

A _firm_ must derecognise any _defined benefit asset_.

5

Shares in an Affiliated Company

5.1

Where any _shares_ are held by a _firm_ in a _regulated affiliated company_, the value of the _shares_ may be taken as, and in any event must not exceed:

1. (1) the value; or
2. (2) where the shareholding, whether held directly or indirectly, is less than 100%, the relevant _proportional share_ of the value,

determined in accordance with this Part (other than 17.2(1) to (3)), of the _surplus assets_ of that _regulated affiliated company_.

5.2

Where any _shares_ are held by a _firm_ in an _affiliated company_ other than a _regulated affiliated company_, the value of the _shares_ must not exceed the greater of:

1. (1) the value (or, where the shareholding, whether held directly or indirectly, is less than 100%, the relevant _proportional share_ of the value), determined in accordance with this Part (other than 17.2(1) to(3)), of the _affiliated company's surplus assets_; and

2. (2) the value of those _shares_ as determined under 12 reduced:

1. (a) by an appropriate amount, to the extent that the _shares_ cannot effectively be made available or realised to meet losses (if any) arising in the _firm_ ;
2. (b) by an appropriate amount, to the extent needed to exclude value attributable to goodwill generated from business with the _firm_ or any _regulated affiliated company_ of the _firm_ ; and
3. (c) by the amount by which the value of any _shares_ held by the _affiliated company_ in a _regulated affiliated company_ of the _firm_ exceeds the value (or _proportional share_), determined in accordance with this Part (other than 17.2(1) to(3)), of the _surplus assets_ of the _affiliated company_.

5.3

The surplus assets of an _affiliated company_ are its total assets excluding:

1. (1) the assets that are selected to cover liabilities and, in the case of a _regulated affiliated company_ , to cover any capital requirement imposed by any relevant provisions of the _PRA_ Rulebook or _FCA Handbook_ ;
2. (2) assets that are interests directly or indirectly held in the _affiliated company's_ own capital (as defined by any relevant provisions of the _PRA_ Rulebook or _FCA Handbook_ for that _affiliated company_);
3. (3) where the _affiliated company_ carries on _long-term insurance business_ , profit reserves and future profits;
4. (4) assets which represent either a _long-term insurance fund_ or a fund the allocation of which as between _policyholders_ and other purposes has yet to be determined;
5. (5) amounts due, or to become due, in respect of _share_ capital, or other contributions from members of the _affiliated company_ , subscribed or called for but not fully paid up; and
6. (6) assets that cannot effectively be made available or realised to meet losses (if any) arising in the _firm_ , including assets that represent capital not owned, directly or indirectly, by the _firm_.

5.4

The assets selected pursuant to 5.3(1) and which are excluded from the total assets:

1. (1) where the _affiliated company_ is an _insurance undertaking_ , must be identified and valued in accordance with any relevant provision of the _PRA_ Rulebook or _FCA Handbook_ as to the value, admissibility, nature, location or matching that apply to the assets available to cover its liabilities (determined under any relevant provision of the _PRA_ Rulebook or _FCA Handbook_);
2. (2) where the _group undertaking_ is a _regulated affiliated company_ (excluding an _insurance undertaking_), must be identified and valued in accordance with the relevant provisions of the _PRA_ Rulebook or _FCA Handbook_ applicable to the _regulated affiliated company_ as to cover its liabilities and the applicable regulatory requirement identified in 5.3(1);
3. (3) where the _group undertaking_ is not a _regulated affiliated company_ , must be of a value at least equal to the amount of its liabilities, determining that value and that amount in accordance with this Part (other than 17.2(1) to(3)) and Friendly Society - Liability Valuation Part; and
4. (4) in all cases, must not include:
 1. (i) assets falling within 5.3(2), or
 2. (ii) assets falling within 5.3(5) where the amount is due, or to become due, from an _affiliated company_ ; but
5. (5) notwithstanding 5.1, 5.2 and 5.3, a liability of an _affiliated company_ which is a _debt_ due to the _firm_ is not required to be determined at an amount which is higher than the value placed on that _debt_ as an asset of the _firm_.

5.5

For the purposes of 5.4, the relevant provisions of the _PRA_ Rulebook or _FCA Handbook_ must be treated as if 17.2(1) to (3) do not apply for the purpose of valuing _shares_ in _affiliated companies_ that are not _dependants_.

5.6

For the purposes of this Part, any value attributed to any _shares_ held directly or indirectly in an _affiliated company_ which is an _ancillary services undertaking_ must be deducted from the assets of the _firm_.

6

Value of Non-Capital Interests in a Group Undertaking

6.1

A _firm_ must notify the _PRA_ of:

1. (1) any _affiliated company_ :
 1. (a) in which no participation is held by another _affiliated company_ ; and
 2. (b) which is not a _subsidiary_ ; but
 3. (c) which is linked by a consolidation _Article 12(1) relationship_ with another _affiliated company_ ; and
2. (2) the value of that _affiliated company_ calculated in accordance with 5.

7

Debts Due or to Become Due from an Affiliated Company

7.1

The value of any _debt_ due, or to become due, from an _affiliated company_ must not exceed the amount reasonably expected to be recovered in respect of the _debt_ taking into account only the value of:

1. (1) the assets identified in 5.3(1); and
2. (2) any security held in respect of the _debt_.

8

Repo Agreements

8.1

Where a _firm_ has sold _securities_ to or purchased _securities_ from a _CRD credit institution_ or a _MiFID investment firm_ and such sale or purchase was made subject to an agreement that the _CRD credit institution_ or _MiFID investment firm_ would, either on demand by the _firm_ or within six _months_ of such sale or purchase, subsequently sell to or purchase from the _firm_ equivalent securities, then if at the relevant date such subsequent sale or purchase has not taken place and the conditions specified in 8.2 and either 8.3 or 8.4 (as appropriate) are satisfied, the _firm_ :

1. (1) must value:
 1. (a) _securities_ sold by it under such agreement as if such _securities_ had been retained by it, and
 2. (b) assets provided by it as consideration for the purchase of _securities_ under such agreement as if such consideration had not been provided by it; and
2. (2) must not ascribe a value to:
 1. (a) any consideration received for the sale of _securities_ under such agreement (or any assets purchased by it with such consideration) up to the limit of the value of the _securities_ sold; or
 2. (b) any _securities_ purchased by it under such agreement (or any assets purchased with the proceeds of the sale of

any such _securities_) up to the limit of the consideration (valued in accordance with generally accepted accounting practice or other generally accepted methods appropriate to _friendly societies_) provided by it.

8.2

The condition specified in this Chapter is that, where at any time after the sale or purchase of _securities_ by the _firm_ under an agreement described in 8.1 either:

1. (1) the amount of the consideration received by the _firm_ for the sale of the _securities_ fell below the value of the _securities_ sold by it; or
2. (2) the value of the _securities_ purchased by the _firm_ fell below the value of the consideration provided by it,

by more than 2.5% of the value of the _securities_ sold or purchased (as the case may be), the _firm_ demanded additional consideration equal to the shortfall and such demand was complied with before the end of the _working day_ following the day on which the shortfall occurred.

8.3

The conditions specified in this Chapter are that, if the _firm_ purchases _securities_ from a _CRD credit institution_ or a _MiFID investment firm_ and the consideration provided by the _firm_ is other than by way of sale of _securities_ :

1. (1) the _securities_ purchased are:
 1. (a) _approved securities_ ,
 2. (b) _listed _securities_ , or
 3. (c) _securities_ issued by a _CRD credit institution_ ; and
2. (2) the _securities_ purchased do not include:
 1. (a) _securities_ (other than _approved securities_) issued by the same _counterparty_ whose aggregate value amounts to more than 15% of the value of the _securities_ purchased; or
 2. (b) if the condition in (2)(a) is not satisfied, _securities_ whose value when aggregated with the _firm?s_ existing _exposure_ to assets of the same description or to the same _counterparty_ would exceed the appropriate _permitted asset exposure limit_ or _permitted counterparty exposure limit_ as determined in accordance with 17 to 29.

8.4

The conditions specified in this Chapter are that, if the _firm_ sells _securities_ to a _CRD credit institution_ or a _MiFID investment firm_ :

1. (1) the consideration provided by the _CRD credit institution_ or _MiFID investment firm_ is:
 1. (a) cash;
 2. (b) _approved securities_ ;
 3. (c) _listed _securities_ ;
 4. (d) _securities_ issued by a _CRD credit institution_ ;
 5. (e) a charge over assets set out in (a) to (d);
 6. (f) a letter of credit established with a _CRD credit institution_ ; or
 7. (g) a guarantee provided by a _CRD credit institution_ ; and
2. (2) the consideration :
 1. (a) except to the extent that the condition in (2)(b) is satisfied, when aggregated with the _firm?s_ existing _exposure_ to assets of the appropriate description or to the relevant _counterparty_ , does not exceed the appropriate _permitted asset exposure limit_ or _permitted counterparty exposure limit_ as determined in accordance with 17 to 29; or
 2. (b) does not include :

1. (i) _securities_ (other than _approved securities_) issued by;
2. (ii) letters of credit established with;
3. (iii) guarantees provided by,
4. (iv) cash deposited with;
5. (v) a charge over cash deposited with; or
6. (vi) a charge over _securities_ issued by,
3. the same _counterparty_ in excess of 15% of the total consideration; and
4. (3) the consideration to be provided by the _firm_ for the subsequent purchase of _equivalent securities_ is:
 1. (a) where the consideration for the original purchase by the _CRD credit institution_ or _MiFID investment firm_ was (wholly or in part) cash, cash denominated in the same currency; and
 2. (b) where the consideration was (wholly or in part) _securities_, _securities_ equivalent to the _securities_ provided by way of consideration.

8.5

For the purposes of this Chapter, where the _firm_ has received consideration in respect of a sale of the kind described in 8.1, in addition to any other _exposure_ to assets or to a _counterparty_ :

1. (1) if such consideration takes the form of a letter of credit established with, or a guarantee provided by, a _CRD credit institution_, it must be considered to give rise to _exposure_ to that institution by the amount of the consideration;
2. (2) if such consideration takes the form of a charge over _securities_, it must be considered to give rise to _exposure_ to _securities_ of the same description and to the _issuer_ of those _securities_ by the amount of the consideration; and
3. (3) if such consideration takes the form of cash deposited with another party for the benefit of the _firm_, or a charge over cash deposited with another party, it must be considered to give rise to _exposure_ to that party by the amount of the consideration.

8.6

For the purposes of this Chapter, the amount of any consideration must be:

1. (1) where the consideration is a letter of credit established with a _CRD credit institution_, the lower of the amount made available under the letter of credit and the value of the assets sold;
2. (2) where the consideration is a guarantee provided by a _CRD credit institution_, the lower of the amount of the guarantee and the value of the assets sold; and
3. (3) where the consideration takes the form of assets of any of the types mentioned in 8.4(1)(a) to (d), or a charge over such assets, the value of the assets as determined in accordance with this Part.

8.7

Where a _firm_ has entered into a number of agreements described in 8.1, for the purposes of 8.3 and 8.4:

1. (1) any or all agreements under which the subsequent sale or purchase has not taken place at the _relevant date_ may be treated as one agreement; and
2. (2) in such case, the 15% limits referred to in 8.3(2)(a) and 8.4(2)(b) must be calculated by reference to the aggregate of the value of the _securities_ purchased under 8.3 and the amount of any consideration under 8.4.

9

Debts and Other Rights

9.1

This Chapter does not apply to any rights (other than `_debts_` due) in respect of:

1. (1) investments in an `_affiliated company_` ;
2. (2) `_securities_` or beneficial interests in a limited partnership;
3. (3) units or other beneficial interests in a `_collective investment scheme_` ;
4. (4) a `_derivative_`, except as provided under 9.8 or 9.9; or
5. (5) a contract or asset which has the effect of a `_derivative_` except as provided under 9.8 or 9.9 or under 16.4 or 9.6.

9.2

The value of any `_debt_` due, or to become due, to a `_firm_` , other than a `_debt_` to which 7, 9.3, 9.4, 9.5, 9.7 or 14 applies, must be:

1. (1) in the case of a `_debt_` which is due, or will become due, within twelve `_months_` of the `_relevant date_` (including any `_debt_` which would become due within that period if the `_firm_` were to exercise any right to which it is entitled to require payment of the same), the amount which can reasonably be expected to be recovered in respect of that `_debt_` ; and
2. (2) in the case of any other `_debt_` , the amount which would reasonably be paid by way of consideration for an immediate assignment of the `_debt_` ; and

in either case due account being taken of the terms and conditions for payment of the `_debt_` and, where the `_debt_` is secured, the nature and quality of the security.

9.3

Any `_debt_` due, or to become due, to a `_firm_` under a letter of credit must be left out of account for the purposes of this Part.

9.4

In the case of `_long-term insurance business_` carried on by a `_firm_` , the value of any `_debt_` due, or to become due, to the `_firm_` which is secured on a policy of insurance issued by the `_firm_` and which (together with any other `_debt_` secured on that policy) does not exceed the amount payable on a surrender of that policy at the `_relevant date_` must be the amount of that `_debt_`.

9.5

Subject to 9.6, the value of any rights of the `_firm_` under a contract of `_reinsurance_` to which it is a party must be the amount which can reasonably be expected to be recovered in respect of those rights.

9.6

9.5 does not apply to:

1. (1) rights under a contract of `_reinsurance_` in respect of `_long-term insurance business_` except to the extent that `_debts_` are due under such contracts; or
2. (2) `_debts_` to which 7 applies which are due or are to become due.

9.7

Any `_debt_` due, or to become due, to a `_firm_` :

1. (1) from an intermediary in respect of money advanced on account of commission to which that intermediary is not absolutely entitled at the relevant date ; or
2. (2) which is a debt owed in respect of premiums (due account being taken of rebates, refunds and commissions payable) which is recorded in the firm's accounting records as due and payable and has been outstanding for more than three months ,

must be left out of account for the purposes of this Part.

9.8

The value of any right to recover assets transferred by way of initial margin in respect of a derivative or a contract or asset having the effect of a derivative must be determined:

1. (1) where the initial margin was a payment in cash, as if there were a debt owed to the firm for that amount; and
2. (2) where the initial margin took the form of a transfer of securities, as if there were a debt owed to the firm of an amount equal to the value of such securities as determined in accordance with this Part.

9.9

The value of any rights arising under a derivative or under a contract or asset having the effect of a derivative , must be the value of any right to recover assets transferred by way of initial margin together with the value of any other unconditional right to receive a specified amount.

10

Land

10.1

The value of any land of a firm (other than land held by the firm as security for a debt or to which 10.2 or 15.1 applies) must be not greater than the amount which (after deduction of the reasonable expenses of sale) would be realised if the land were sold at a price equal to the most recent proper valuation of that land which has been provided to the firm and any such land of which there is no proper valuation must be left out of account for the purposes of this Part.

10.2

The value of any interest in land which is determinable upon the death of any person or upon the happening of some other future event or at some future time must be the amount which would reasonably be paid by way of consideration for an immediate transfer thereof.

11

Equipment

11.1

The value of any computer equipment of a firm :

1. (1) in the financial year of the firm in which it is purchased, must not be greater than three-quarters of the cost thereof to the firm ;
2. (2) in the first financial year thereafter, must not be greater than one-half of that cost;
3. (3) in the second financial year thereafter, must be not greater than one-quarter of that cost; and

4. (4) in any subsequent _financial year_ , must be left out of account for the purposes of this Part.

11.2

The value of any office machinery (other than computer equipment), furniture, motor vehicles and other equipment of a _firm_ , must be, in the _financial year_ of the _firm_ in which it is purchased, not greater than one-half of the cost thereof and must be, in any subsequent _financial year_ , left out of account for the purposes of this Part.

12

Securities and Beneficial Interests in Limited Partnerships

12.1

Subject to 12.2, this Chapter applies to the valuation of investments comprising _securities_ and beneficial interests in limited partnerships.

12.2

This Chapter does not apply to the valuation of _securities_ which are:

1. (1) _derivatives_ ;
2. (2) units or other beneficial interests in _collective investment schemes_ ; or
3. (3) contracts or assets having the effect of _derivatives_ .

12.3

Subject to 12.6, the value of an investment to which this Chapter applies must be:

1. (1) where the investment is transferable and 12.4 does not apply, the _market value_ ;
2. (2) where the investment is transferable and 12.4 applies, the lower of:
 1. (a) the _market value_ ; and
 2. (b) the amount which would reasonably be expected to be received by way of consideration for an assignment or transfer of the investment at a date not later than twelve _months_ after the _relevant date_ , it being assumed that negotiations for the assignment or transfer commenced on the _relevant date_ and the assignment or transfer was made other than to the _issuer_ or to an _associate_ of the _issuer_ or of the _firm_ ; or
3. (3) where the investment is not transferable:
 1. (a) the amount payable on redemption on the _relevant date_ or the most recent date before the _relevant date_ on which the _issuer_ of the investment could have been required to redeem the investment; or
 2. (b) where the investment cannot be redeemed, the amount which would reasonably be paid by way of compensation for the surrender of the interest in the investment.

12.4

Subject to 12.5, this Chapter applies where it is not reasonable to assume that, had negotiations for the assignment or transfer of the investment commenced not more than seven _working days_ before the _relevant date_ , the investment could have been assigned or transferred on the _relevant date_ for an amount not less than 97.5% of the _market value_ other than to the _issuer_ or to an _associate_ of the _issuer_ or of the _firm_ .

12.5

12.4 does not apply where it would otherwise apply because:

1. (1) the _listing_ or _admission to trading_ of the investment has been temporarily suspended following receipt of price sensitive information by the stock exchange on which the investment is _listed_ , or _admitted to trading_ or the _regulated market_ on which facilities for dealing have been granted; or
2. (2) the extent of the holding would prevent an orderly disposal of the investment for an amount equal to or greater than 97.5% of the _market value_.

12.6

Where a _firm_ has made more than one investment (including loans) that is not _listed_ (other than a number of investments exclusively comprising loans) and the value of such investments when taken together is greater than the aggregate of the values of each investment valued separately, then such higher value may be ascribed to the investments if it is reasonable to assume that none of the investments would be assigned or transferred separately.

13

Beneficial Interests in Collective Investments Schemes

13.1

Subject to 13.2, this Chapter applies to holdings of units, or other beneficial interests in:

1. (1) a scheme falling within the _UCITS Directive_;
2. (2) an _authorised unit trust scheme_ or a _recognised scheme_ (not falling within (1)); or
3. (3) any other _collective investment scheme_ where:
 1. (a) the scheme does not employ _derivatives_ unless they are _approved derivatives_ or _approved quasi-derivatives_; and
 2. (b) the property of the scheme does not include assets other than those for the valuation of which provision is made in this Part.

13.2

This Chapter does not apply to units or other beneficial interests in a _collective investment scheme_ which has the effect of a _derivative_.

13.3

The value of units or other beneficial interests in a _collective investment scheme_ to which this Chapter applies must be:

1. (1) where the _issuer_ can be required to purchase the units or other beneficial interests from the holder upon the holder giving notice of one _month_ or less, the price at which the _issuer_ would have purchased the units or other beneficial interests on the _relevant date_ or the most recent date before the _relevant date_ on which it could have been required to make such a purchase; or
2. (2) where the _issuer_ cannot be required to purchase the units or other beneficial interests as set out in (1), a value determined in accordance with 12.

14

Deferred Acquisition Costs

14.1

In the case of _general insurance business_ , the value of _deferred acquisition costs_ must be the value as determined

in accordance with generally accepted accounting practice or other generally accepted methods appropriate to _friendly societies_.

15

Future Interests

15.1

The value of any _long-term insurance business asset_ of a _firm_ consisting of an interest in property which is a remainder, reversionary interest, right of fee subject to a life rent or other future interest, whether vested or contingent, must be the amount which would reasonably be paid by way of consideration for an immediate transfer or assignment of it.

16

Contracts and Assets Having the Effect of Derivatives

16.1

Rights in respect of a contract or asset whose effect is that of a _derivative_ must have a value determined in accordance with 9.9.

16.2

Subject to 16.4, for the purposes of this Part, a contract has the effect of a _derivative_ if it is a contract (other than a _derivative_) which provides whether upon the exercise of a right by the _firm_ or otherwise:

1. (1) for payment (at any time) of amounts which are determined by fluctuations in:
 1. (a) the value of property of any description;
 2. (b) an index of the value of property of any description;
 3. (c) income from property of any description; or
 4. (d) an index of income from property of any description;
2. (2) for delivery of an asset (other than an asset for the valuation of which provision is made in 11) to or by the _firm_ ; or
3. (3) for the conversion of an asset held by the _firm_ or another party to:
 1. (a) an asset of a different type; or
 2. (b) a different asset of the same type.

16.3

Subject to 16.4 for the purposes of this Part an asset has the effect of a _derivative_ if the asset is an asset (other than an _approved security_ or an asset falling within 13.1(1)) and the holding of the asset confers contractual rights or imposes contractual obligations to make or accept payment, delivery or conversion as set out in 16.2.

16.4

A contract or asset does not have the effect of a _derivative_ by reason only that:

1. (1) it provides for the unconditional delivery of assets, or for the payment for unconditional delivery of assets, such delivery or payment to be made within a period not exceeding the period commencing at the date of the contract and extending:
 1. (a) in the case of a _listed security_ or a _security_ _admitted to trading_, for the usual period for delivery or payment

as determined by the rules of the stock exchange or _regulated market_ on which the _securities_ are _listed_ or _admitted to trading_ , or facilities for dealing have been granted; or

2. (b) in any other case, for 20 _working days_ ;

2. (2) it is a contract of the type described in 4.5(1) in respect of which the conditions set out in 4.5(2) have been satisfied; or

3. (3) it is a transaction to which 8.1 applies.

17

Assets to Be Taken Into Account Only to a Specified Extent

17.1

This Chapter only applies to an _incorporated friendly society_.

17.2

Subject to 17.2 to 17.6, the aggregate value of the assets of a _firm_ must be reduced by an amount representing the aggregate of:

1. (1) the amount by which the _firm_ is exposed to assets of any description in excess of the _permitted asset exposure limit_ for assets of that description;

2. (2) the amount by which the _firm_ is exposed to a _counterparty_ in excess of the _permitted counterparty exposure limit_ for such _counterparty_ ;

3. (3) the amount by which the _firm_ has an _excess concentration with a number of counterparties_ ;

4. (4) the value of any assets transferred to or for the benefit of the _firm_ in pursuance of a condition in a _derivative_ or a related contract; and

5. (5) the value of any assets transferred to or for the benefit of the _firm_ in pursuance of a contract whose effect is that of a _derivative_ or a related contract,

as determined in accordance with 18 to 29.

17.3

Where a _firm_ is exposed to assets of any description in excess of the _permitted asset exposure limit_ for such assets, the reduction required to be made by 17.2(1) must be made:

1. (1) by deducting (as far as possible) the amount of the excess from the assets of that description held by the _firm_ ; and

2. (2) where the _firm_ does not hold sufficient (or any) assets of that description to eliminate the excess, by making an appropriate deduction from the aggregate value of the assets which the _firm_ would otherwise be permitted to take into account for any of the purposes of this Part.

17.4

Where a _firm_ is required to make a reduction in accordance with 17.2(2), (3), (4) or (5), the reduction must be made by making a deduction from the aggregate value of the assets which the _firm_ would otherwise be permitted to take into account for any of the purposes of this Part.

17.5

Where a _firm_ carrying on _long-term insurance business_ has attributed assets partly to a _long-term insurance business_ fund and partly to its other assets, any reduction required to be made by this rule must be made in the same

proportion as the attribution.

17.6

Assets of a _firm_ comprising:

1. (1) _approved securities_ or any interest accrued thereon;
2. (2) _debts_ to which 9.4 applies;
3. (3) rights to which 9.5 applies;
4. (4) _debts_ in respect of _premiums_ ;
5. (5) moneys due from, or guaranteed by, the government of any _approved State_ ;
6. (6) _shares_ in or _debts due or to become due_ from a _dependant_ falling within 5;
7. (7) holdings in a scheme falling within the _UCITS Directive_ ; or
8. (8) _deferred acquisition costs_ ,

must not be taken into account in any of the calculations described in 17.2.

17.7

Assets of _dependants_ of the _firm_ that are _debts due or to become due_ from the _firm_ or from a _dependant_ of the _firm_ must not be taken into account in any of the calculations described in 17.2.

17.8

Where a _firm_ has entered into any contracts providing for the payment of _index-linked benefits_ , the provisions of 17.2(1) must not apply to assets of that _firm_ to the extent that they are held to match liabilities in respect of such benefits.

18

Calculation of Exposure to Assets

18.1

A value must be ascribed to assets of each description which must be an amount determined in accordance with this Part or, where the assets are of a description for the valuation of which no provision is made in those rules, an amount which would reasonably be paid by way of consideration for an immediate assignment or transfer of such assets. The amount by which the _firm_ is exposed to assets of each description must be determined by adjusting the value of the assets in accordance with 19 to 23.

19

Adjustments in Respect of Futures Contracts

19.1

The value ascribed under 18 in respect of assets of each description must be increased or decreased by the value of assets of that description which the _firm_ is deemed to have acquired or disposed of pursuant to a _futures_ contract.

19.2

For the purposes of 19.1, the _firm_ must be deemed to have acquired or disposed of assets pursuant to a _futures_ contract if, at the _relevant date_ , it has entered into (and not closed out) a _futures_ contract which:

1. (1) provides for the acquisition of assets by the _firm_ ;
2. (2) is _listed_ and provides for the disposal of assets by the _firm_ ; or
3. (3) is not _listed_ but provides for the disposal of assets by the _firm_ to an _approved counterparty_ and it is prudent to assume that such disposal will take place within one year of the _relevant date_.

20

Adjustments in Respect of Options

20.1

The value ascribed under 18 to 19 in respect of assets of each description must be increased or decreased by the value of assets of that description which the _firm_ is deemed to have acquired or disposed of pursuant to an _option_.

20.2

For the purposes of 20.1, the _firm_ must be deemed to have acquired or disposed of assets pursuant to an _option_ if, at the _relevant date_, it is a party to an _option_ and it is prudent to assume that the _option_ will be exercised and the _option_ is one which:

1. (1) provides for the acquisition of assets by the _firm_ ;
2. (2) is _listed_ and provides for the disposal of assets by the _firm_ ; or
3. (3) is not _listed_ but provides for the disposal of assets by the _firm_ to an _approved counterparty_ and it is prudent to assume that such disposal will take place within one year of the _relevant date_.

21

Adjustments in Respect of Initial Margins

21.1

The value ascribed under 18 to 20 in respect of assets of each description must be increased by an amount representing the value of any assets of that description which have been transferred by the _firm_ by way of _initial margin_.

22

Adjustments in Respect of Certain Contracts

22.1

The value ascribed under 18 to 21 must be increased or decreased by an amount representing the value of assets which the _firm_ is deemed to have acquired or disposed of under:

1. (1) an undiversified _contract for differences_ ; or
2. (2) a contract or asset other than a diversified _contract for differences_ which has the effect of a _derivative_.

22.2

For the purposes of 22.1, the _firm_ must be deemed to have achieved the effect of such contract by entering into appropriate _futures_ contracts or _options_. The assets deemed to be acquired or disposed of must be dealt with in accordance with the provisions in 19.1 and 20.1 respectively.

23

Adjustment in Respect of Subsidiaries

23.1

Subject to 23.2 and 23.3, the amount of the _firm's exposure_ to assets determined in accordance with 18 to 22 must be increased by an amount representing the _exposure_ , if any, of the _firm's_ _dependants_ to assets of that description.

23.2

For the purposes of 23.1, the _exposure_ of each _dependant_ must be calculated by applying 18 to 22 to that _dependant_ as if it were a _firm_ to which those provisions apply (whether it is or not).

23.3

In relation to a _dependant_ :

1. (1) which is an _insurance undertaking_ ; or
2. (2) in respect of which 17.2(1) to (3) have (notwithstanding 5.4(1)) been applied when valuing the assets selected under 5.3(1),

23.1 applies only in relation to the _dependant's surplus assets_ (or _proportional share_).

24

Excess Asset Exposure

24.1

1. (1) The amount by which the _firm_ is exposed to assets of a particular description in excess of the _permitted asset exposure limit_ must be calculated by subtracting the _permitted asset exposure limit_ for assets of that description from the corresponding amount of the _exposure_ , calculated in accordance with 18 to 23.
2. (2) For the purpose of (1), _exposures_ to assets must be excluded to the extent that such _exposure_ has caused the recognition of excess _exposure_ to assets of a different description and if the figure arrived at is negative, it must be taken to be zero.

25

Calculation of Exposure to a Counterparty

25.1

1. (1) Subject to 25.2 to 25.4, the value of all investments (determined in accordance with 12) issued by any one _counterparty_ and the value of all rights (determined in accordance with 9 and 16) against that _counterparty_ , in each case up to the amount of the appropriate _permitted asset exposure limit_ , must be aggregated.
2. (2) For the purposes of (1), where the _counterparty_ is an _issuer_ of a _collective investment scheme_ falling within 13.1(3), the value of units or other beneficial interest in the _collective investment scheme_ must be included.

25.2

Where a _firm_ has rights in respect of a secured obligation to be fulfilled by a _counterparty_ :

1. (1) which:
 1. (a) is secured by cash deposited with, or a letter of credit established with, or _securities_ issued by, or a guarantee

provided by, a _CRD credit institution_ or an _approved financial institution_ ; and

2. (b) is due to be fulfilled within 12 _months_ of the _relevant date_ ; or

2. (2) which is secured by _listed _securities_ which are _readily realisable_ or by _approved securities_ which in either case:

1. (a) have been deposited with a _CRD credit institution_ , an _approved financial institution_ or a _MiFID investment firm_ ; and

2. (b) are beneficially owned by the _counterparty_ but will not be available for the benefit of creditors generally in the event of the winding-up of the _counterparty_ ,

3. the aggregation required by 25.1 need not include the value of such rights.

25.3

If the _firm_ has liabilities to the _counterparty_ which may be offset against the assets in 25.1 in accordance with generally accepted accounting practice or other generally accepted methods appropriate for _friendly societies_ , then such liabilities may be offset for the purposes of the aggregation required by 25.1.

25.4

Subject to 25.5, the amount arrived at under 25.1 to 25.4 must be increased by the amount by which any _dependant _of the _firm_ is exposed to the same _counterparty_.

25.5

In relation to a _dependant_ :

1. (1) which is an _insurance undertaking_ ; or

2. (2) in respect of which 17.2(1) to (3) have (notwithstanding 5.4(1)) been applied when valuing the assets selected under 5.3(1),

25.4 applies only in relation to the _dependant?s _surplus assets_ (or _proportional share_).

26

Excess Counterparty Exposure

26.1

The amount by which a _firm_ is exposed to a _counterparty_ in excess of the _permitted counterparty exposure limit_ must be calculated by subtracting from the amount of the _exposure_ to such _counterparty_ the amount of the _permitted counterparty exposure limit_ for such _counterparty_. If the figure arrived at is negative, it must be taken to be zero. If the _firm_ is exposed to a _counterparty_ in excess of the _permitted counterparty exposure limit_ in more than one of the circumstances set out in 29(1), it must make the deduction required under 17.2(2) only in respect of the circumstances leading to the greatest excess _exposure_.

27

Excess Concentration with a Number of Counterparties

27.1

In accordance with 27.2, where there is _exposure_ to a _counterparty_ of the type mentioned in 29.1(3)(b), 40% of the _business amount_ must be deducted from the aggregate of such _exposures_. The amount so arrived at is the excess concentration with a number of counterparties. Where this amount is negative, it must be taken to be zero.

27.2

For the purposes of this Chapter:

1. (1) _exposure_ to a _counterparty_ must be taken into account only up to the level of the _permitted counterparty exposure limit_ for that _counterparty_ ;
2. (2) _exposure_ to a _counterparty_ must not be taken into account if it does not exceed 5% of the _business amount_ ; and
3. (3) _exposure_ to a _counterparty_ must not be taken into account if the corresponding _permitted counterparty exposure limit_ does not exceed 5% of the _business amount_.

28

Permitted Asset Exposure Limits

28.1

The _permitted asset exposure limits_ are those set out in 28.2 to 28.23.

28.2

5% for a piece of land or a number of pieces of land (or one or more interests in such pieces of land) to which in the most recent _proper valuation_ of such pieces of land an aggregate value is ascribed which is greater than the aggregate of the value of each of such pieces of land or interests valued separately.

28.3

1% for a reversionary interest or a remainder not falling within 28.2.

28.4

1% for all _debts due or to become due_ from any one individual (other than a _connected individual_ of the _firm_), being _debts_ which are fully secured on any dwelling or any land appurtenant (or in Scotland, appertaining) thereto owned or to be purchased by the individual and used or to be used by him for his own residence.

28.5

0.25% for all _debts due or to become due_ from any one individual, other than _debts_ specified in 28.4.

28.6

1% for all unsecured _debts_ (other than _debts_ arising under the terms of _debt securities_ or _debts_ from a _regulated institution_) _due or to become due_ from any one _counterparty_ other than an individual, body corporate or group.

28.7

1% for all unsecured _debts_ (other than _debts_ arising under the terms of _debt securities_ or _debts_ from a _regulated institution_) _due or to become due_ from any one _body corporate_ , taken together with all such _debts due or to become due_ from an _affiliated company_ of that _body corporate_ .

28.8

2.5% for all unsecured _debts_ (other than _debts_ arising under the terms of _debt securities_ or _debts_ from an _approved counterparty_) _due or to become due_ from any one _regulated institution_ , taken together with (where

that institution is a body corporate) all such debts due or to become due from an affiliated company of that institution.

28.9

5% for all debts, other than debts arising under the terms of debt securities, due or to become due from any one counterparty, which is not an approved counterparty, taken together with all such debts due or to become due from any affiliated company (other than an approved counterparty) of that counterparty.

28.10

10% for all debts, other than short-term deposits with a CRD credit institution or debts arising under the terms of debt securities, due or to become due from any one approved counterparty, taken together with all such debts due or to become due from any affiliated company of that approved counterparty.

28.11

20% for all debts due or to become due from a CRD credit institution (or an affiliated company of that institution) taken together unless:

1. (1) the firm has notified the PRA that it places deposits with that institution; and
2. (2) the total amount of debts due or to become due does not exceed £2 million.

28.12

5% for the aggregate of debts of the descriptions in 28.5, 28.6 and 28.7.

28.13

1% for all investments of a kind which may be valued in accordance with 12 (other than secured debt securities, debt securities issued by a regulated institution or investments which are listed and readily realisable) issued by any one issuer taken together with:

1. (1) all units or other beneficial interests in a collective investment scheme falling within 13.1(3) issued by that issuer; and
2. (2) all investments of the kinds mentioned in this Chapter issued by an affiliated company of that issuer.

28.14

10% for the aggregate of assets of any of the descriptions in 28.3 and 28.13.

28.15

2.5% for all shares and hybrid securities issued by any one issuer taken together with all such securities issued by an affiliated company of that issuer.

28.16

In the case of a firm effecting contracts of insurance or carrying out contracts of insurance that are with-profits policies and holding shares as long-term insurance business assets, for shares that are ordinary listed shares in the issuer, the permitted asset exposure limit in 28.15 may exceed 2.5% of the long-term insurance business amount to a maximum of 5% of the long-term insurance business amount or the formula result, whichever is lower, where:

1. (1) the 'formula result' means 0.8 multiplied by M/T multiplied by P, expressed as a percentage of the long-term

insurance business amount_ , where:

1. (a) M = the aggregate market capitalisation of the ordinary _listed__ shares_ in the _issuer_ ,
 2. (b) T = the aggregate market capitalisation of all _securities_ in the Financial Times Stock Exchange All Share Index, and
 3. (c) P = the value of the assets supporting the _firm?s_ _long-term insurance business_ fund, determined in accordance with this Part; and
2. (2) ?value of the assets? means the value of the assets:
3. less
 1. (a) the amount of the _firm?s_ _mathematical reserves_ for _linked-long-term contract of insurance_ and _non-profit policies_ net of _reinsurance_ , and
 4. plus
 1. (b) (if the _firm_ does not _effect contracts of insurance_ or _carry out contracts of insurance_ that are _contracts of general insurance_) the _firm?s_ net assets outside the _firm?s_ ____long-term insurance business_ fund.

28.17

5% for all _securities_ issued by any one _issuer_ which is not an _approved counterparty_ taken together with (where that _issuer_ is a _body corporate_) all _securities_ issued by an _affiliated company_ , other than an _approved counterparty_ , of that _issuer_.

28.18

10% for all _securities_ issued by any one _counterparty_.

28.19

5% for all holdings in any one authorised unit trust scheme or recognised scheme.

28.20

3% for all cash.

28.21

5% for all computer equipment.

28.22

2.5% for all office machinery (other than computer equipment) taken together with all furniture, motor vehicles and other equipment.

28.23

In the case of an asset which is not covered by 28.2 to 28.22 (other than a _derivative_), the _permitted asset exposure limit_ is nil.

29

Permitted Counterparty Exposure Limits

29.1

The _permitted counterparty exposure limits_ are as follows:

1. (1) where the `_counterparty_` is an individual or an unincorporated body of persons, 5% of the `_business amount_` ;
2. (2) where the `_counterparty_` is a `_counterparty_` of the type mentioned in (5) in the definition of `_counterparty_` , 5% of the `_business amount_` ;
3. (3) where the `_counterparty_` is a body corporate or group, each of:
 1. (a) 20% of the `_business amount_` or £2 million, whichever is the larger;
 2. (b) 10% of the `_business amount_` where the `_exposure_` arises otherwise than by reason that `_debts_` are due, or are to become due, as a result of `_short term deposits_` made with an `_CRD credit institution_` ; and
 3. (c) 5% of the `_business amount_` where the `_exposure_` is to bodies which are not `_approved counterparties_` .